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SECRET

FROM WASHINGTON TO FOREIGN OFFICE

Cypher/OTP.

FOREIGN OFFICE AND
WHITEHALL SECRET (CABINET)
DISTRIBUTION

Sir R. Makins
No: 2556
November 28, 1954.

D: 4.21 p.m. L.T. November 28, 1954.
R: 12.13 a.m. November 29, 1954.

IMMEDIATE
SECRET

Addressed to Foreign Office telegram No: 2556 of November 28
Repeated for information to: U.K.Del. New York.

My immediately preceding telegram: Quemoy and Formosa.

The object of ORACLE plus the Defence Treaty was to initiate a process of pacification in the Far East, by stopping the mutual attacks on each other by the rival Chinese, and neutralizing the off-shore islands. The Defence Treaty and exchange of Notes put the Chinese Nationalists under virtually complete American control. But the question of the off-shore islands remains an exposed flank in the move towards a peaceful solution. They can, on paper, be added to the treaty area, and if Knowland and Company have their way they certainly will be. Something is required to cover this exposed flank, and for this purpose ORACLE, in default of other proposals, still holds the field.

2. I fully appreciate the difficulties, especially of timing, to which Sir P. Dixon draws attention, and I do not intend to attempt any special pleading on ORACLE's behalf. But if we do nothing, the situation may drift in the wrong direction, and tension increase. The United States Administration will be under heavy pressure to take a stiffer line if hostilities continue. With ORACLE in process they would have a line of defence.

3. There are then it seems three possibilities on the table at present.

(a) Wait and see.
(b) ORACLE is attempted and makes progress.
(c) ORACLE is attempted and fails.

(b) is.....

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SECRET

Washington telegram No: 2556 to Foreign Office

(b) is the optimum. The main question is: will (a) or (c) involve greater dangers to the situation in the Far East and Anglo-American relations.

4. As far as the Treaty is concerned, its text and the exchange of Notes cannot now be changed and in any event will sooner or later be published. I have no doubt that their intention on the American side is to open the way to the process of pacification in the Far East. I quite see that on reflection you may decide not to proceed with ORACLE on the strength of these documents but I hope that you will say nothing to cast a doubt on their intention.

ADVANCE COPIES:
Sir I. Kirkpatrick.
Private Secretary.
Mr. Allen.
Head Far Eastern Department.

JJJJJ